

Njomoko Warehouse

ATTN,

Date: 2025-12-24T08:17:53.107Z

John Ndung'u
P. O. Box
125-01000

"Subject to Lease"

Dear John,

**RE: OFFER TO LEASE COMMERCIAL SPACE ON THE GROUND
FLOOR FLOOR OF THE DEVELOPMENT ERECTED ON LAND
REFERENCE L.R. NO. LR534262**

Further to our discussions in respect to the referenced matter, we are pleased to offer to lease to you the commercial space measuring approximately 500 Square Feet on the Ground Floor Floor of the development erected on L.R. No. LR534262 at Nairobi, Kenya subject to contract, and subject to the following terms:

1.	Premises:	The Premise leased is the commercial space measuring approximately 500 Square Feet on the Ground Floor Floor of the development erected on L.R. No. LR534262 at Nairobi, Kenya
2.	Landlord:	Geofrey Meyers P. O. Box XXXXXXXXXXXXXXXX XXXXXXXXXX
3.	Lead:	John Ndung'u Limited P. O. Box xxxxxxxx

		125-01000
4.	Term:	12 months from the 1 st day of December 2025 or such other earlier date that the Parties shall agree.
5.	Guarantors:	The Lead's Directors shall issue and execute a personal Deed of Guarantee and Indemnity to the Landlord to guarantee the Lead's fulfillment of its obligation under the Lease.
6.	Fit Out Period:	The Lead shall be granted true rent free Fit Out Period. The Lead shall undertake all the required Fit Out Works before the rent Commencement Date, and the Landlord hereby warrants and undertakes to grant to the Lead with vacant possession on the 1 st day of December 2025 or such other earlier date as the Lead may require, provided that should the Lead take possession of the Premises earlier than the 1 st day of December 2025, the Term Commencement Date shall be amended to two months after the Lead takes possession of the Premises.
7.	Rent:	The Rent which shall be payable from the Term Commencement Date shall be assessed at Kenya Shilling 150 per Square Foot aggregating to Kenya Shillings 75,000 (Kshs. 75,000/=) which shall escalate at the rate of 4% after every Twelve (12) months after the Term Commencement Date. The rent is

		inclusive of service charge. Rent shall be paid quarterly in advance not later than the 5th day of every month upon presentation of an invoice, and if the rent is not paid by then, the Lead shall pay the Landlord interest on the rent arrears at the rate of Fifteen Percent (15%) per month from the date the Rent fell due until the date it is paid in full. Interest shall be calculated on daily balances and debited monthly by way of compound interest.
8.	Service charge:	The Service Charge levied at Ksh. 5 per sq.ft or 2,500 amount, which shall be payable either monthly or quarterly in advance together with the rent, shall cover all outgoings, operational costs and overheads relating to the building that shall include but not be limited to the following: - a) Electricity for common areas b) Cleanliness for common areas c) Insurance d) Cost of periodic maintenance and decoration of common areas water pumps and other machinery e) Maintenance of vehicle parking and delivery areas f) Management costs g) Rates and ground rents h) Repairs of common areas i) Security for common areas

		Service charge will be payable from the Term Commencement Date. The Service Charge shall escalate at the rate of 5% per annum after every 12 months from the Term Commencement Date. The Service Charge does not cover electricity and water exclusively consumed by the Lead, which will be metered separately and payable by the Lead.
9.	VAT	The Rent and Service Charge shall attract VAT at the prevailing rate, currently at the rate of 16%. In addition to the above rental costs, the Lead will be liable to pay on demand by the Landlord or to provide exemption certificate including exceptions from The Kenya Revenue Authority in accordance with the legal requirements of all Value Added Taxes or other taxes livable from time to time in law in respect of any amounts payable by the Lead. Should the rate of VAT be varied during the Term, the Lead shall pay VAT on the Rent at such higher or lower revised rate.
10.	Utilities:	The Lead shall pay for electricity consumed in their premises separately from the rent whether such electricity is supplied through the mains or through

the Landlord's generator (if any) at the rate as shall be determined by the Landlord from time to time. All electricity will be sub-metered by the Landlord.

The Lead shall not make any alterations or additions to the electrical equipment or appliances installed in the Demised Premises (even if the said equipment or appliances have been installed by the Lead) without the prior written consent of the Landlord.

In the event the Lead requires any riser or risers for the supply of the Lead's electrical requirements the Lead shall make written request therefor to the Landlord. The Landlord shall if in its sole judgement (which judgement will be final and binding upon the Lead) decide whether or not to permit the installation of such riser or risers as are necessary and/or whether or not such riser or risers will cause damage or injury to the Mall or any part of it or to the electrical circuits to the Demised Premises or cause or create a dangerous or hazardous condition or entail extensive or unreasonable alterations repairs or expense. If the Landlord decides to permit such riser or risers, then the Lead at the sole cost and expense of the Lead and subject to the aforesaid terms and conditions also install in addition to such riser or risers

		all other equipment proper and necessary in connection therewith. The Lead shall procure the connection and provision of telephone, internet services and all other required utilities from the respective service providers of the Lead's choice, and shall pay for telephone, water, internet and all such utilities to the respective service providers. The Landlord shall not be responsible for the connection or provision of utilities and therefore, the Term or any of the Lead's obligations under the Lease or this Letter of Offer shall not be affected by any delay or failure of provision of any of these utilities.
11.	Security Deposit:	Together with the acceptance of this offer, the lead will pay a Security Deposit of Rent and Service Charge in form of cash or bank guarantee and maintain with the landlord such Security during the Term of the Lease of a sum of Kenya Shillings 232,500 (Ksh. 232,500 /=) (equivalent to 3 month's rent and Service Charge.) The deposit shall be retained by the landlord as security for the due performance by the lead of its obligations under the lease. The deposit will not be utilized by the

		lead on account of the payment of rent, service charge or car park license fees for the last month (or longer period) of the term of lease. During the period of the lease the deposit will be adjusted from time to time so that at no time during the term shall the rents payable be higher than the deposit held. The deposit shall be refundable without interest to the lead after expiry of the lease and return of the premises in accordance with the covenants contained in the lease.
12.	User:	The premises shall be used for the sole purpose as xxxxxxxxxxxx and any change of user will not be permitted without the landlord's or its Agents prior approval. The usage of the space will have to be in accordance with the design of the building. The Lead shall at all times during the Term comply with all Laws, Acts, Rules, Regulations or By-Laws now in force, or as shall be enacted, passed, made or issued by the Government of Kenya or any Municipal, Township, Local or other competent authority in relation to the occupation, conduct and user of the Premise AND obtain all such

		licenses consents certificates or approvals thereon.
13.	Subletting:	The lead will not be permitted to transfer, assign, sublet or part with possession of the premises. Upon breach of the covenant, the Landlord may re-enter the premises and there upon the lease shall be terminated absolutely.
14.	Partitioning, Fixtures and Fittings:	The landlord shall grant vacant possession of the premises as a cold shell. The Lead shall obtain the Landlord's written approval of any proposed design and layout of the interior of the Premises. Before commencing any alterations or improvements to the interior, the Lead shall submit plans of the intended layout and design specifying the materials to be used to the Landlord for approval. The Lead shall pay the Landlord and his consultants the cost of considering the proposed plan. Prior to commencing any fit out works, the Lead shall obtain all relevant permits and/or approvals from the appropriate local and governmental authorities for such works on the Premises and shall furnish the Landlord with copies of all such permits and/or

		approvals. Work Hours: All fit out works shall be done during the specific working hours of 8:00 a.m. to 6:00 p.m. or such other extended period that may be agreed in writing by the Landlord. Any damage to the building or part thereof and fixtures and fittings thereon forming the Mall, external or internal, (i.e., including but not limited to sidewalks, doors, slab, studs, drywall, ceiling, ductwork, electrical work, plumbing, plumbing fixtures, painting, etc.) caused by the Lead and/or the Lead's contractor or agents shall be repaired by the Landlord's contractor at the Lead's expense and shall be payable forthwith by the Lead. All the costs of the improvements or alterations shall be borne by the Lead.
15.	Restrictions on Signs, Notices etc:	The Landlord shall allow paint, affix or exhibit of any name or writing or any sign placard, advertisement in the landing or passage upon or outside any private entrance door to the Premises from the landings or passage giving access with the prior written consent of the Landlord. The Lead will supply the Landlord with the design, size, type, color and placing of such signboards and also pay all the

		respective local authority fees and levies if required.
16.	Hours of Operation:	The minimum hours of operation shall be 7.00 am to 9.00 pm seven (7) days a week throughout the lease term or such other extended hours specified by the Landlord from time to time. For clarity the Mall hours of operation herein would not stop the Lead from operating prior or beyond those hours up to 24 Hours a day Seven Days a week. The Lead covenants to open for business to the public with the Premises fully furnished and stocked with merchandise on or before the Rent commencement date and thereafter, subject to temporary closures for casualty, condemnation or remodelling, that prevents the Lead from conducting its normal business operations in the Premises, provided that, where the Lead shall intend to close the business for a continuous period exceeding Fourteen (14) days, the Lead shall notify the Landlord.
17.	Use of Brand:	By accepting this letter of offer, the Lead consents to the Landlord using its name and brand in the promotion of the Mall both to other potential leads and to the market in general. The Lead's prior approval on artwork shall be deemed to have been sought and obtained, and no

		further approvals shall be required during the Term.
18.	Internal Repair:	The Lead shall repair and maintain the Premises, including finishes, partitions, doors, windows and internal fixtures and fittings in a tenantable state of repair and condition, fair wear and tear excepted.
19.	Insurance:	The Lead shall at its own cost insure and keep insured the Premises and its personal contents and all the glass plates if any with a reputable underwriter to the full insurable value thereof. The Lead shall also take out an employer's liability and public liability covers with a reputable underwriter to the full insurable value thereof.
20.	Re-entry:	If the rent agreed or any part thereof shall remain unpaid for fourteen (14) days after becoming payable (whether formally demanded or not) or if at any time thereafter the lead in breach of any of the covenants or conditions referred to in the standard form lease, it will be lawful for the landlord to re-enter the premises or any part thereof in the name of the whole and thereupon the lease shall be terminated absolutely.
21.	Possession:	The Lead shall only be granted possession of the Premises on acceptance of this Letter of Offer, execution of the Lease and payment of all the amounts reserved under this

		Letter of Offer. The Term and the provisions of this Letter of Offer and the Lease shall not be affected by any delay in executing and returning of this Letter of Offer or the Lease.
22.	Standard Lease:	The Lease shall be in the Landlord's Standard Lease for the Property which shall be prepared by the Landlord's Advocates. Being a standard Lease for all premises on the Property, no material changes to the standard Lease shall be accepted or incorporated therein save for what is contained in this Letter of Offer.
23.	Legal Fees and all Incidental Costs:	All costs including Legal Fees to scale for the preparation of the Lease, Stamp Duty, registration fees and other related disbursements shall be borne by the Lead and paid to the Landlord's Advocates on acceptance of the Letter of Offer and before execution of the Lease. The Legal Fees shall be assessed according to the Advocates (Remuneration) (Amendment) Order 2014.
		By accepting the terms of this letter of offer, the lead is deemed to approve the standard form lease and agrees to execute and return the lease promptly and within seven days when it is submitted to the lead together with its remittances to cover the Landlord's advocate's estimate of their charges for completion of the lease which is

		payable by the lead immediately on demand.
24.	Confidentiality	This offer is made in confidence. No terms shall be discussed with any third party save for the Lessor's and the Lessee's legal advisors who shall, in turn, be bound by this confidentiality clause.
25.	Security	The Lessor will provide day and night security services to the Centre. The Lessee acknowledges and agrees that no warranty or guarantee is given by the Lessor in respect thereof and the Lessor, its agents and employees are under no liability whatsoever to the Lessee, the Lessee's agents, customers, visitors, licensees, guests, invitees or employees against injury, damage or loss (including loss of property, items or valuables) caused by burglary, theft or otherwise in the Premises.
27.	Governing Law	This Offer Letter shall be governed by and construed in accordance with the laws of Kenya.
28.	Acceptance.	The invitation will remain open for acceptance for a period of Seven (7) days from the date hereof, and may only be accepted on the following conditions. Acceptance shall be in writing and duly signed on this Letter of Offer and shall be effective only when the signed Letter together with the

unconditional payment of the amounts specified here below are received within the said period of Seven (7) days failure to which this offer will lapse, unless the late acceptance of the offer is approved by Landlord:

3 months' Security	Ksh.
Deposit of Rent and	232,500 /=
Service Charge:	
3 months' Advance Rent	Ksh.
& service charge:	232,500 /=
VAT	Ksh.
	37,200 /=
Total:	Ksh.
	502,200 /=

All payments shall be made to the Landlord's Bank Account specified below, and shall be evidenced by an official bank deposit slip duly endorsed by the receiving bank. The Landlord shall not be liable for any payment which is made to any other person or into any other account or in any other mode:

Account no:

Account Name:

Bank:

Branch:

Branch Code:

The Legal Fees for the Landlord's Advocates for attending to the instant transaction shall be payable to the Landlord's Advocates contemporaneous with the payment of the above sums and before the return of the accepted Letter of Offer.

By accepting this Offer, the Lead is deemed to have accepted the Terms and Conditions contained herein and shall be bound by the same pending execution of the Lease and further agrees and undertakes to execute the Lease within Seven (7) days of receipt of the same.

The Lead shall furnish the Landlord's Advocates with the following:

- a) Certified copy of the Certificate of Incorporation of the Lead;
- b) Certified copy of the latest Form CR12 of the Lead;
- c) Copy of the KRA PIN Certificate of the Lead;
- d) ID Card and KRA PIN Certificate of the Lead's Directors; and
- e) Legal Fees.

The Letter of Offer is not binding on the Landlord or at all until the Lead has returned the same properly executed together with all the respective payments and the documents herein

		requested and the Landlord has accepted the same.
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Yours faithfully,

Geofrey Meyers

Director

LEAD'S ACCEPTANCE OF THE OFFER

We or I **John Ndung'u** do hereby unconditionally accept the offer to lease the Premises, and the above Terms and Conditions, and undertake to execute the standard Lease which shall be prepared by the Landlord's Advocates within Seven (7) days of receipt of the engrossed Lease and enclose herewith payments of Kenya Shillings in respect of: -

3 months' Security Deposit of Rent and Service Charge:	Ksh. 232,500 /=
3 months' Advance Rent & service charge:	Ksh. 232,500 /=
VAT	Ksh. 37,200 /=
Total:	Ksh. 502,200 /=
Legal Fees:	As assessed according to the Advocates (Remuneration) (Amendment) Order 2014.

SEALED with the COMMON SEAL of the Lead the said

John Ndung'u ltd

In the presence of: -

Name _____

Name _____

Signature _____

Signature _____

Person Certifying the Execution

I CERTIFY that _____ and _____
being the persons witnessing the affixing of the Common Seal of the Lead
appeared before me on _____ and being known to
me/being identified by _____ of
_____ acknowledged the above signature or marks to be
theirs and that they had freely and voluntarily executed this instrument and
understood its contents.

Name and signature of person certifying